

Multiple Choice (10 marks)

1. The aggregate demand curve has a negative slope in part because when the price level increases
 - (a) the real quantity of money increases
 - (b) imports become relatively more expensive
 - (c) the value of cash increases
 - (d) exports become relatively cheaper
 - (e) inflation rate decreases
2. The characteristic roots of the MA process $y_t = -3u_{t-1} + u_{t-2} + u_t$ are
 - (a) 1 and 0.5
 - (b) 2 and 0.5
 - (c) -1 and -0.5
 - (d) -1 and 2
 - (e) 3 and -2
3. What school of economists defended Say's Law? Which pro-minent economist disputed this theory?
 - (a) Chicago school, Stiglitz
 - (b) Marxist school, Minsky
 - (c) Behavioral school, Akerlof
 - (d) Neoclassical school, Friedman
 - (e) Neoclassical school, Coase
4. An increase in the price level and a decrease in real GDP in the short run could be the result of
 - (a) a decrease in the money supply.
 - (b) an increase in consumer confidence.
 - (c) a sudden surge in technological innovation.
 - (d) a prolonged period of very bad weather.
 - (e) a decrease in consumer confidence.
5. If a series, y , follows a random walk, what is the optimal one-step ahead forecast of y ?
 - (a) The current value of y

- (b) The median value of y over the in-sample period
- (c) The minimum value of y over the in-sample period
- (d) The value of y two periods back
- (e) One

True / False (10 marks)

Answer True or False

6. True or False: A tax cut of 10 billion leads to a decrease in savings by 1.5 billion due to increased consumer spending.
7. True or False: The levels of incomes in foreign nations significantly influence the volume of a nation's exports and imports.
8. True or False: Cabbages grown in a summer garden are counted in GDP under personal consumption expenditures.
9. True or False: Sales at stores often indicate the presence of monopolistic competition or oligopolistic competition in retail industries.
10. True or False: A leftward shift in the aggregate supply curve creates a trade-off where lower output corresponds with higher unemployment, according to the Phillips curve.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the implications of the given prices and marginal products of labor and capital for a firm's production strategy. What adjustments should the firm make, and why?
12. Discuss the factors that can shift the aggregate supply curve and explain why an increase in the price level does not contribute to such a shift.

End of Paper